Rent payments and rent in advance

On this page:

- Methods of payment
- Illegal fees and charges
- How often and when to pay
- Charging rent in advance
- Stopping rent payments
- Providing rent receipts

A rental agreement (lease) must state how much the rent is and how often it must be paid.

Rent must be paid to the rental provider, who might be an agent or an owner, a site owner, or an operator of a rooming house or caravan park.

Rent must be paid by renters according to the rental agreement.

There are rules about requesting and accepting rent in advance, providing receipts, and requesting additional fee payments from renters.

Other pages have information about late or unpaid rent (https://www.consumer.vic.gov.au/housing/renting/rent-bond-bills-and-condition-reports/rent/late-or-unpaid-rent), rent increases (https://www.consumer.vic.gov.au/housing/renting/rent-bond-bills-and-condition-reports/rent/rent-increases) and challenging a rent increase (https://www.consumer.vic.gov.au/housing/renting/rent-bond-bills-and-condition-reports/rent/challenging-rent-increases-or-high-rent).

Methods of payment

The renter and rental provider should agree on how rent is to be paid before they start the rental agreement.

Before they agree, the rental provider must tell the renter about any costs they will have to pay for the method they have chosen.

The rental provider must:

- provide at least one payment method where the renter doesn't have to pay a fee (other than the renter's own bank fees)
- allow the rent to be paid via the Commonwealth 'Centrepay' bill paying service and another form of electronic funds transfer
- make the renter aware of any fees that may be incurred by using the agreed payment method (such as dishonour fees)
- not require the renter to pay by cheque with a date in the future on it (a post-dated cheque).

Neither the renter or the rental provider can ask the other to pay them back the costs of:

- setting up accounts to make or receive rental payments, or
- for expenses related to making or receiving payments (such as bank fees).

Any changes to how rent is paid must be agreed between the renter and rental provider.

Illegal fees and charges

Rental provider

Rental providers cannot charge fees or fines for:

- issuing a rent payment card
- establishing or using direct debit facilities
- processing rent payments
- late payment of rent.

Rental providers cannot add clauses to rental agreements that say these kinds of fines or fees must be paid. This is illegal.

Third party businesses

Rental providers and agents may use a third-party platform to manage your rental agreement and rent payments.

If you pay rent or apply for a rental property through a third-party platform, the business running that platform must not charge you a fee.

Note: This does not include your standard bank fees.

How often and when to pay

The rental agreement states whether the rent will be paid weekly, fortnightly, calendar monthly or at another agreed time. Once a rental agreement has started, rent is due on the agreed date by the agreed payment method.

Renters paying by electronic funds transfer should allow at least 24 hours for the money to go into the rental provider's account. For example, transfer the rent the day before the due date to avoid it being considered late.

Charging rent in advance

When a renter starts renting, they are usually required to pay rent in advance before they can move in. There are rules for how much advance payment a rental provider can ask for and accept.

A rental provider cannot ask for or accept more than a maximum of one month's rent in advance from a renter, unless:

- rent is paid weekly, in which case they can only ask for 14 days' rent in advance
- the rent is above $900 a week, in which case there are no limits up to the full value of the rental agreement.

Rent in advance in rooming houses, caravan parks and residential parks and villages

Special rules apply to rooming houses, caravan parks and residential parks and villages that have Part 4A site agreements. Find out what kind of properties fall under Part 4A site agreements (https://www.consumer.vic.gov.au/housing/renting/starting-and-changing-rental-agreements/different-rental-agreements/site-agreements-in-residential-parks-and-villages). The rules say:

- rooming house operators cannot charge more than 14 days' rent in advance.
- caravan park owners cannot charge more than 14 days' rent in advance for site rental.
- caravan owners cannot charge more than 28 days' hiring charge in advance for caravan rental.
- Part 4A site owners cannot charge more than one month's rent in advance.

Stopping rent payments

Renters must not stop paying rent until they agree with their rental provider on a date to stop. Renters must keep paying rent even if:

- the rental provider or owner refuses to do repairs (https://www.consumer.vic.gov.au/housing/renting/repairs-alterations-safety-and-pets/repairs/repairs-in-rental-properties)
- it is the last month of the rental agreement
- they have given notice to end the rental agreement and leave the property
- they have received a notice to vacate.

Providing rent receipts

Rental providers, or their agents, must provide renters with receipts for rent payments:

- immediately if rent is paid in person
- within five business days of a request.

Rental providers must also keep rent records for at least 12 months.

A receipt must contain:

- the rental provider's name and signature
- the property address
- the payment date
- what period the payment was for
- how much was paid
- a clear statement that it is a rent receipt.

Rental providers can be fined for not following the rules for rent receipts.

Overpaid rent

Generally, rent under a residential rental agreement accrues from day to day and is recoverable or refundable on that basis.

Sections of the Act

If you want to know what the law says about rent payments and rent in advance, you can read these sections of the *Residential Tenancies Act 1997* (https://www.legislation.vic.gov.au/in-force/acts/residential-tenancies-act-1997):

- Sections 39–49 – Rents (residential rental agreements)
- Section 51A – Prohibited rental and application fees

- Sections 99–107 – Rent (rooming houses)
- Sections 150–160 – Rents and hiring charges (caravan parks)
- Sections 206S–206ZC – Rents and other charges (Part 4A sites)

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(https://www.consumer.vic.gov.au/resources-and-tools/yarrka-barring-resources-for-first-nations-people)

We acknowledge the Traditional Owners of the lands, seas and skies. We pay our respects to their Elders past and present, and to future generations who will continue to care for Country.

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